6.2 Globalization, Trade, and Poverty

Video: Globalization and Trade and Poverty (Crash Course Economics)

Measuring Poverty

In the 1990s the United Nations created eight _____. The first was to eradicate extreme poverty and hunger.

In the U.S., a person making less than about $11,770 a year is below the _____, or poverty threshold.

The U.N. defines extreme or _____ as living on less than $1.25 a day. The number of people in extreme poverty fell from 1.9 billion to 836 million.

_____ is a threat to these improvements. Also, most people lifted out of extreme poverty are still poor.

Why Is Extreme Poverty Falling?

Education, humanitarian aid, and international organizations helped, but the greatest contributor is _____ and trade: the world's economies and cultures have become more interconnected.

Economist Jeffrey Sachs called _____ the single most transformative technology in the developing world. They give people access to banking, education, and better prices for their products.

_____ is the idea that countries can skip straight to more efficient and cost-effective technologies.

Competition: Winners and Losers

Companies search for the cheapest place to make products. Labor-intensive products like shoes are often made in countries with the lowest _____ and the weakest _____.

Winners	Losers	Mixed
Corporations, stockholders, and _____	_____ whose jobs moved overseas	Low wage foreign workers: some face hazardous conditions, but many earn more money

These jobs often pay above-average local wages, and the _____ means more money is spent at local businesses, so these jobs create jobs.

Opponents of Globalization

Opponents call outsourcing of jobs exploitation and a form of economic _____. Some call for _____ policies; others demand higher wages and more protections for foreign workers.

Some developing countries have no _____ laws or rules for safe working conditions, and child labor laws are not always enforced.

Two forces may help workers: growing public _____, and more competition for labor as developing economies grow, which leads to higher wages.

Perhaps the strongest argument against globalization is its lack of _____: deforestation, pollution, and climate change.

Microcredit

In 2006, Muhammad Yunus won the Nobel Peace Prize for _____: small loans, around $100, to low-income people in rural areas, often used to start _____.

Microcredit supports the idea that enabling people to _____ can make their lives better.

Think About It

Globalization brings cheaper products but also tough working conditions in some countries. Would you pay more for a product made under better working conditions? Explain.

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